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# Sukuk: Structure, stability and strategic opportunity

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Islamic finance is growing at a rapid pace, driven primarily by increasing demand for investors who seek Shariah-compliant investments. Sukuk, often referred to as Islamic bonds, surpassed USD 1trn in 2025, making them one of the fastest-growing segments of Islamic finance. The asset class's unique value proposition is driving its popularity, especially in an increasingly volatile global economic landscape.

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In this publication, we will explore the evolving role of Sukuk in wealth management, examining market fundamentals, risk frameworks and emerging opportunities within this market.

# The evolving role of Sukuk

Sukuk, commonly referred to as Islamic bonds, are Shariah-compliant investment certificates representing ownership interests in underlying assets, usufructs (the right to use an asset and receive its benefits, without owning it) or ventures. In return, Sukuk holders receive periodic distributions, typically in the form of rental payments (Ijarah), profit-sharing (Mudarabah) or asset-generated cash flows, and upon maturity the principal amount is repaid. Sukuk differ from conventional bonds in several ways:

Fig. 1

Sukuk vs. conventional bonds

| Aspect | Conventional bonds | Sukuk |
|---|---|---|
| **Core principle** | Lending (time-value of money) | Asset ownership |
| **Underlying asset** | Any asset, business or project | Must be Sharia-compliant |
| **Returns** | Guaranteed (fixed or floating interest) | Not legally guaranteed (depends on underlying asset's performance) |
| **Risk** | Issuer bears all performance risk | Shared risk between parties |
| **Transparency** | Moderate (depends on disclosure) | High (asset identification required) |

Source: Standard Chartered

The role of Sukuk in the investing landscape is evolving amid global uncertainty and rising geopolitical tensions. Investors are increasingly seeking more stable and asset-backed alternatives. An investor can consider investing in Sukuk for the following reasons:



## Resilient

Sukuk provide asset-backed collateral that conventional bonds often lack, offering a cushion during volatile market conditions. Historically, Islamic investments, including Sukuk', have been countercyclical, i.e. they tend to expand or remain stable when conventional markets contract. Across major market stress from the 2018 US-China Trade War through the 2026 Middle East Conflict, Sukuk bonds consistently outperformed Global Bonds — delivering smaller drawdowns in risk-off episodes such as the 2018 US-China trade war and 2022 higher for longer inflation, and greater resilience in geopolitical oil shocks, underscoring the asset class's structural defensive characteristics.

Fig. 2

Resilience through shocks

| Event | Oil spot price at start of period | Oil spot price at end of period | Oil spot price change | Global bonds | Global Sukuk Bonds | EM Asia Bonds | EM Sukuk Bonds | EM USD Bonds |
|---|---|---|---|---|---|---|---|---|
| **2018 US -China Trade War** | 64.3 | 45.4 | -29.4% | -2.4% | -0.6% | 1.1% | 1.5% | -0.9% |
| **2020 Covid-19** | 53.3 | 23.4 | -56.2% | -3.1% | -9.0% | -8.4% | -7.3% | -16.6% |
| **2022 Inflation overheat** | 95.0 | 78.8 | -17.1% | -8.7% | -0.7% | -0.8% | -1.0% | -1.9% |
| **2025 Liberation Day** | 71.7 | 62.4 | -13.1% | 0.0% | -0.9% | -2.3% | -0.9% | -2.8% |

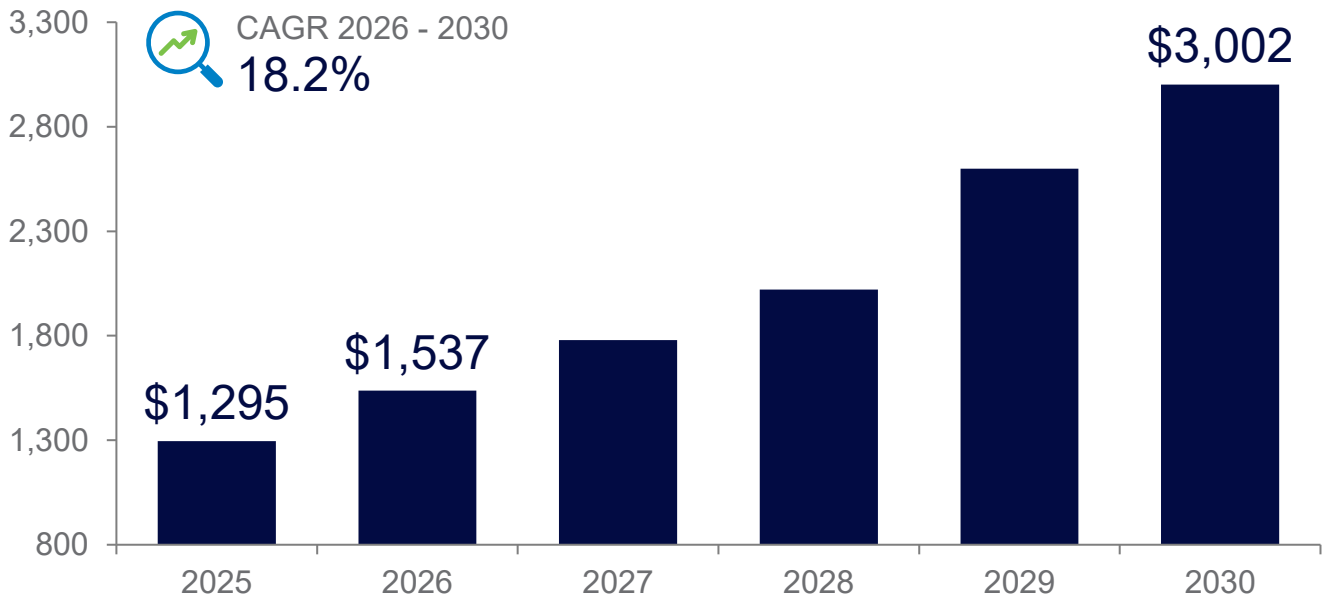
Source: Bloomberg, Standard Chartered

## Strong fundamentals

The Sukuk market experienced an unprecedented 25% growth in issuance in 2025, with issuance nearly USD 300bn. According to some reports, the Sukuk market could reach USD 3trn by 2030 driven by increased demand for Shariah-compliant investments, sovereign funds' diversification needs, development of regulatory frameworks for Sukuk and growth in Middle East capital markets. Nearly 80% of Fitch-rated Sukuk carry investment-grade ratings and have little or no history of default, underscoring the sector's strong fundamentals. These factors should help to instil confidence among investors, who can look at Sukuk as central building blocks of their portfolio.

Fig. 3

Sukuk market size in USD bn




Source: The Business Research Company, Standard Chartered

## Convergence with sustainable investing trends

Sukuk and sustainable bonds share more common ground than their different origins suggest, making sustainable Sukuk a natural bridge between Islamic finance and sustainable investing. This also helps explain Sukuk's growing appeal beyond traditional Muslim investors, as evidenced by Sustainable Sukuk issuance rising from USD 464mn in 2017 to USD 9bn in 2024, representing a CAGR of 52.7%. The overlap starts with what Sukuk exclude: Shariah principles prohibit interest, excessive uncertainty and speculation, and screen out sectors financing harmful industries such as tobacco, gambling, weapons, adult entertainment and alcohol – a negative screen that closely aligns with the exclusionary (negative screening) method, commonly used in sustainable investing. Traditional Sukuk bonds require proceeds to be linked to identifiable real assets or projects, creating a ring-fenced structure like use-of-proceeds sustainable bonds. Combined with Shariah's broader objectives of social welfare, resource stewardship and equitable risk-sharing, this creates strong alignment with the United Nations Sustainable Development Goals.

Green Sukuk is an established example, where proceeds are earmarked for environmental projects such as renewable energy, clean transport, energy-efficient buildings or sustainable water and wastewater management. Issuers must meet both Shariah approval from a recognised scholarly board and alignment with International Capital Market Association (ICMA) Green Bond Principles.

Traditional Sukuk already comply with Shariah laws such as avoiding Riba (interest-based returns arising from lending transactions), Gharar (investments with ambiguity) and Maysir (speculation). Sustainable Sukuk build on this foundation by adding environmental and social objectives. The table below highlights how sustainable Sukuk differ from traditional Sukuk.

Fig. 4

Traditional Sukuk vs. Sustainable bonds vs Sustainable Sukuk

| Aspect | Traditional Sukuk | Sustainable Bonds | Sustainable Sukuk |
|---|---|---|---|
| **Underlying structure** | Asset-linked | | |
| **Use of proceeds** | For any Shariah-compliant purpose | Exclusively green, social, or sustainable projects | |
| **Environmental standards** | Not beyond Shariah sector exclusions | ICMA Green/Social/ Sustainability Bond Principles | |
| **Sector exclusions** | Shariah screens | Framework dependent | Shariah screens plus the framework's own eligibility criteria |
| **Shariah compliance** | Required | Not applicable | Required, alongside sustainability standards |
| **External review** | Shariah board pronouncement only | Second party opinion | Shariah board pronouncement plus independent second party opinion |
| **Impact reporting** | Not required | Annual allocation and impact reporting until proceeds are fully deployed | |
| **Investor base** | Islamic and conventional finance investors | ESG and impact-focused investors | Islamic finance, ESG and impact-focused investors |

Source: Standard Chartered

## Digital integration

The integration of blockchain technology and digital platforms is revolutionising Sukuk issuance and trading, dramatically reducing transaction costs and expanding accessibility to a broader investor base. For instance, SAKKEX (an independent blockchain-based Sukuk marketplace) streamlines drafting, issuance, and near-instant settlement. Its Sukuk Wallet App also allows investors to trade on the go. Several such digital platforms now allow tokenised Sukuk that enable fractional ownership, automated Shariah compliance verification and real-time settlement, thereby addressing challenges that have persisted in Islamic finance markets. Digital tools also simplify cross border Sukuk transactions by enabling end to end digital origination and trading, with smart contracts automating profit sharing to cut operational costs and enhance transparency.

# Sukuk structures and wealth mandates

Sukuk structures define the nature of ownership, risk-sharing and return generation. Several types of Sukuk structures exist and are defined by the underlying Shariah contract. We discuss some prominent ones below and see how they align with various phases of an investor's wealth journey:

**Sukuk al-Ijarah** is a Shariah-compliant lease-based bond where the investor gains partial ownership in a physical asset such as a building, airport or equipment. The asset is then leased back to the issuer who pays a nominal (pre-agreed) rent to the investor. An investor seeking stable, predictable income streams with lower volatility can consider investing in these Sukuk. The original principal amount is returned at the end of the lease period.

Ijarah Sukuk are ideal for the wealth preservation phase of an investor's wealth journey. For instance, investors nearing retirement typically need to restructure their portfolios by shifting from growth to preservation while generating steady income to cover living expenses. Ijarah Sukuk deliver on both fronts: protecting capital through asset-backed structures while providing predictable rental income that supports household needs without depleting principal.

**Sukuk al-Murabahah** are cost-plus financing structures where the issuer buys an asset and immediately resells it to the investors at a marked-up price, with payment deferred over a pre-determined time. Consider this: Let us assume, a company needs USD 100m. A special purpose vehicle (SPV), established by the company, mobilises funds from investors and buys commodities worth USD 100m and immediately resells them to the company for USD 112m payable over time. The USD 12m difference is the agreed profit margin. Murabahah Sukuk are best suited for investors seeking income over a short to medium term, typically, 1-5 years. Investments in this type of Sukuk return the principal gradually throughout the investment period rather than only at maturity.

Investments in Murabahah Sukuk are best suited for wealth protection and income generation. Unlike Ijarah which return principal as a lump sum at maturity, Murabahah amortise both profit and principal in each instalment. This makes them ideal for retirees who need to systematically draw down capital to fund living expenses without depleting their portfolio too quickly.

**Sukuk al-Mudarabah** is a profit-sharing partnership arrangement where investors provide 100% of the capital and operate as silent partners. The issuer manages the business or project as the active partner. Under a Mudarabah arrangement, financial losses arising from normal business risks are borne by the investors in proportion to their capital contribution, while the Mudarib loses its effort and entitlement to profit. However, where losses result from negligence, misconduct, breach of agreed terms, or misconduct by the Mudarib, the Mudarib may be held liable. Think of it as venture capital meets bonds; you fund the business, professionals run it and you share the profits or bear the losses resulting from the business activities. Mudarabah Sukuk are often regarded as one of the structures most closely aligned with the Shariah principle of profit and loss sharing. However, they bear higher risk and lower predictability compared to other structures.

Investors with a growth mindset and open to high-risk tolerance can consider investing in these Sukuk . They best align with accumulation and growth phase of the wealth journey, typically, when investors have long time horizons to absorb volatility and can afford capital risk for higher returns. However, to balance risk, it is important for investors to diversify across various types of Sukuk. Even within Mudarabah, they can consider investing in multiple projects, sectors and geographies.

A joint venture partnership structure where both investors and the issuer contribute capital is **Sukuk al-Musharakah.** In this structure, both parties (issuer and investors) jointly provide capital, participate in managing the venture, and share profits or losses based on agreed upon ratios. This structure appeals to investors focused on growth, interested in active participation, and prepared to take on greater risk in pursuit of higher returns.

Musharakah Sukuk are best suited for the growth and accumulation phase where investors are building wealth aggressively, comfortable with high risk and able to lock up capital for the long term (typically 5+ years).

**Sukuk al-Wakalah** is an agency arrangement where investors appoint a representative from the issuing company as their Wakil (agent) to invest their funds in specific Shariah-compliant assets or projects in exchange for a fee. This arrangement is similar to a mutual fund or ETF, where the agent manages a diversified pool of Shariah compliant assets on behalf of the investors. Investors benefit from professional fund management, diversification, transparency and flexibility. Depending on issuer preferences, Wakalah Sukuk can be structured with lower investment thresholds, making them accessible to a wide range of investors.

Wakalah Sukuk suitability depends heavily on the underlying asset allocation and risk profile. Conservative Wakalah structures investing in stable, income-generating assets suit wealth preservation. Moderate-risk Wakalah can complement accumulation portfolios as a diversification tool, though not as a primary growth driver as their structure and risk mandate limit upside potential.

**Sukuk al-Istisna** is a project financing structure based on a manufacturing or construction contract. Investors provide upfront capital to finance the construction of specific assets. Upon completion, the asset is sold to an end buyer (often the original issuer or a third party) who makes deferred payments including the cost plus a mark-up, which are then distributed to investors. Istisna suit seasoned investors with construction finance expertise and those who can absorb development risk and commit capital for the long term. Owing to its complexity and higher risk profile, this type of Sukuk typically requires large initial investments, making it less accessible to retail investors.

In the wealth cycle, Istisna are best aligned with the accumulation and growth phase, when long time horizons can absorb construction delays and development risks. The long-term commitment and potential for cost overruns or project failure make it unsuitable for later wealth stages such as retirement.

**Sukuk al-Salam** is an Islamic bond backed by a forward purchase contract where investors pay upfront for commodities to be delivered later. At its core, they are similar to forward contracts. However, unlike a forward contract, Salam contracts are fully prepaid, standardised and designed with clearly defined delivery terms to reduce uncertainty (gharar). Under this arrangement, an investor profits from the difference between the lower Salam purchase price (paid today) and the higher resale price (received at delivery).

Salam Sukuk carry high delivery and price risk and aligns well with investors in the growth and accumulation phase. Salam requires strong commodity-market expertise, deep understanding of production and delivery risks, and the ability to assess the issuer's operational capacity to deliver the specified goods on time.

Fig. 5

Types of Sukuk structure

| Sukuk type | Basic structure | Return basis | Risk level | Best fit wealth stage |
|---|---|---|---|---|
| **Ijarah** | Lease-based | Rental income (fixed or variable) | **Low** | Wealth preservation/ protection |
| **Murabahah** | Cost-plus sale | Fixed profit margin | **Low–medium** | Wealth preservation/ protection |
| **Wakalah** | Agency-based | Expected profit rate (not guaranteed) | **Medium** | Wealth preservation and accumulation |
| **Istisna** | Project financing | Fixed or variable, tied to project progress | **Medium-High** | Wealth accumulation |
| **Mudarabah** | Profit-sharing partnership | Variable profit share | **High** | Wealth accumulation |
| **Musharakah** | Joint venture partnership | Profit and loss sharing | **High** | Wealth accumulation |
| **Salam** | Commodity financing | Resale value of the commodity upon delivery | **High** | Wealth accumulation |

Source: Standard Chartered



# Risk management and due diligence

Owing to their ethical framework and asset-backed nature, Sukuk are often considered relatively less risky than conventional bonds. However, they are not immune to risks. Unique challenges such as asset quality deterioration and structure-specific exposures require rigorous risk management.

Fig. 6

Risk management

| Type of risk | Description | Sukuk types exposed | Mitigation strategies |
|---|---|---|---|
| **Default** | Issuer fails to pay rental | Ijarah | Over-collateralisation; assess issuer fundamentals; purchase undertakings |
| **Mark-up** | Fixed profit margin may not reflect market rates | Murabahah | Floating-rate structures; regular repricing clauses |
| **Profit sharing** | Lower-than-expected returns from profit-sharing ventures | Mudarabah, Musharakah | Profit smoothing reserves; performance incentives for manager |
| **Business performance** | Underlying business generates insufficient cash flows | Mudarabah, Musharakah | Due diligence; diversified portfolios; minimum return clauses |
| **Capital loss** | Investors bear losses from business operations | Mudarabah, Musharakah | Capital protection agreements; third-party guarantees |
| **Agent performance** | Wakil mismanages funds or fails fiduciary duties | Wakalah | Performance bonds; strict governance; regular audits |
| **Construction** | Delays, cost overruns in asset development | Istisna | Completion guarantees; penalty clauses; Takaful coverage |
| **Delivery** | Manufacturer fails to deliver completed asset | Istisna, Salam | Performance bonds; escrow arrangements; alternative suppliers |
| **Price** | Market price movement against expectations | Mudarabah, Musharakah, Salam | Performance monitoring, diversification and enhanced governance controls. |

Source: Standard Chartered

Due diligence in Sukuk extends beyond traditional credit analysis and an investor should also consider the following:

- Shariah compliance verification can be done by evaluating the Sukuk structure and confirming that its mandates and underlying assets fully align with Islamic principles.
- Evaluating asset quality by verifying tangibility, cash-generating capability and legal ownership can help investor reduce risk.
- Assessing creditworthiness and market depth will help in identifying financially strong Sukuk issuers and ensuring adequate liquidity.
- Cross-border Sukuk investments remain viable, contingent on careful scrutiny of legal documentation across multiple jurisdictions to ensure enforceability and investor protection.

Robust due diligence and proactive risk mitigation strategies are essential to protect capital and stay aligned with Islamic financial principles.

# Emerging trends

Staying up to date on the latest developments in the Sukuk market is important as this space is constantly evolving and rapidly expanding. Moreover, Islamic finance is not static; Shariah interpretations related to Sukuk structures are periodically redefined. Staying informed protects investors from investing in non-compliant options. We look at some of the factors that are guiding the future of this landscape:

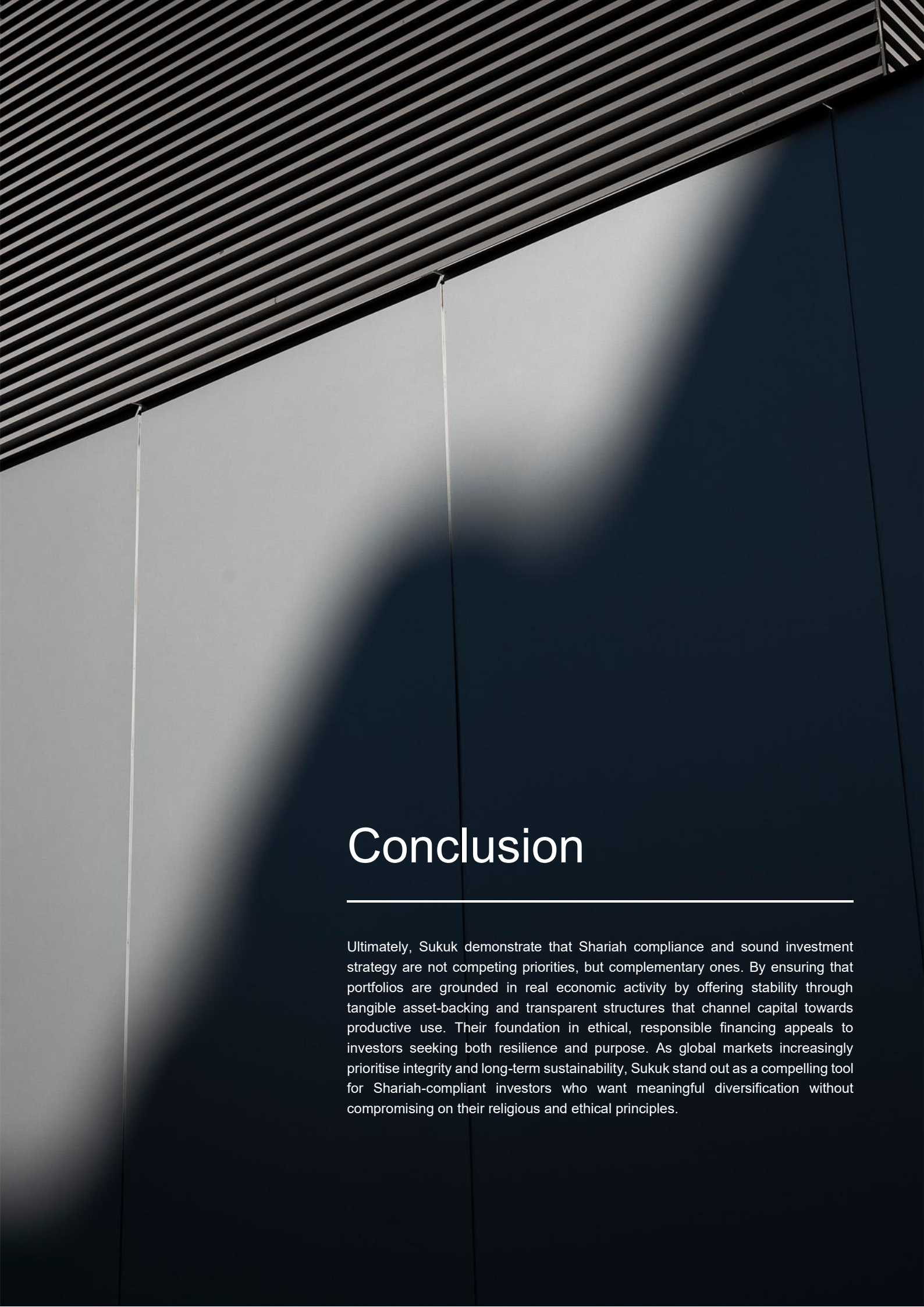


**Green Sukuk** issuance is projected to grow materially through 2030, reflecting the natural convergence of Islamic finance and sustainability principles. Key sectors include renewable energy, green buildings, low-carbon transportation, water and waste management and sustainable agriculture.

**Tech advancements** are revolutionising Sukuk origination, trading and accessibility. Digitisation offers numerous benefits to the Islamic finance landscape: streamlined issuance and trading processes, enhanced accessibility through tokenisation, immutable audit trails via blockchain technology and improved secondary market liquidity.

A major **regulatory shift** is likely to create standardised rules across Islamic finance markets globally. The pivotal development is AAOIFI's Standard 62, launching in 2026, which mandates transparent, Shariah-compliant asset-backing and genuine asset ownership. This can fundamentally strengthen the Islamic authenticity of Sukuk structures.

The Sukuk market is rapidly expanding beyond its traditional Islamic finance strongholds. **Non-traditional territories** in Africa (e.g., Algeria, Benin and Nigeria), Europe (e.g., Luxemburg, UK) and Asia (e.g., Turkey, Pakistan) are emerging as Islamic capital market gateways. This expansion underscores the evolution of Sukuk from a niche Islamic product to a globally recognised asset class attracting diverse sovereigns and investors across continents.



# Conclusion

Ultimately, Sukuk demonstrate that Shariah compliance and sound investment strategy are not competing priorities, but complementary ones. By ensuring that portfolios are grounded in real economic activity by offering stability through tangible asset-backing and transparent structures that channel capital towards productive use. Their foundation in ethical, responsible financing appeals to investors seeking both resilience and purpose. As global markets increasingly prioritise integrity and long-term sustainability, Sukuk stand out as a compelling tool for Shariah-compliant investors who want meaningful diversification without compromising on their religious and ethical principles.

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